Pricing Workshop - Instructor Handout

workshop / 15 slides

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MKTG 4333 / CH 10 WORKSHOP

Workshop: price a real brand with the chapter's machinery and an AI assistant.

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By the end of this session, every student has a written, defended price recommendation.

Open by setting expectations. This is the hands-on companion to the Chapter 10 lecture. Every student leaves with one written deliverable: a defensible price recommendation for a brand they actually buy, with the levers named. The session is structured as five short activities: pick a brand, run the EVC walk, run the four PSM questions on a partner, design a decoy, and run a sharp competitor audit with an AI assistant. Tell students to open a chat assistant (Claude or ChatGPT) on a laptop or phone. They will use it in three of the five activities. The product of the session is a one-page document they can defend to a roommate.

DISCUSSION PROMPTS.

- What brand are you going to work on today? Tell your neighbor and lock it in.

~75s spoken

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02 / 15

SETUP

Pick a real brand you buy or one you would actually launch.

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Greek-life co-branded drink, Etsy item, campus tutoring service, or a real consumer brand. Lock it in now.

Walk students through the brand-picking constraints. The brand has to be real or realistic enough that they can name a buyer segment and a next-best alternative. Strong picks: Stanley tumblers, Liquid Death, the campus coffee shop, an Etsy product they would sell, a tutoring service. Weak picks: 'a phone,' 'a car,' anything where the buyer cannot be named. Spend two minutes letting students pick and write the brand down. Pair them in twos. They will work alone for most activities but check in with their partner between each one.

DISCUSSION PROMPTS.

- What is the next-best alternative your buyer would otherwise pick? Name it specifically.

~90s spoken

03 / 15

ACTIVITY 1 / 8 MINUTES

Activity 1: Build the EVC walk for your brand.

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Find the next-best alternative, write its price as the base, attach a dollar premium to each better attribute. 8 minutes.

Walk the room through the activity steps before they start. Step one: write down the price of the buyer's next-best alternative. That is the base. Step two: list three to four attributes where your product is better than the alternative. Step three: attach a dollar premium to each attribute, and justify the dollar amount in one short sentence the buyer would accept. Step four: sum to get the EVC. Step five: pick a closing price below the EVC so the buyer feels they captured something. Tell students the Caterpillar example carries the structure: 90,000 base plus four premiums to 110,000 EVC, closing at 100,000. They have eight minutes. Walk the room.

DISCUSSION PROMPTS.

- What is the alternative's price?
- Name three attributes where you win. What dollar premium does each carry, and why?

~60s spoken

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ACTIVITY 1 DEBRIEF

Debrief: read three EVC walks out loud and ask the room to pick the most defensible.

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Pull three volunteers. Strongest walk earns the closing price the room would actually pay.

Solicit three volunteers to share their EVC walks. Read each one out loud. For each, ask the rest of the room two questions. One, would you accept the dollar premium attached to each attribute? Two, is the closing price above or below what you would actually pay? The point of the debrief is to surface the weak premiums, the ones that read as the seller's wish rather than a number the buyer would verify. The strongest walk usually has dollar premiums tied to time saved, downtime avoided, or a real alternative cost. The weakest walks attach premiums to 'better quality' without a number the buyer can check.

DISCUSSION PROMPTS.

- Which premium reads as the strongest? Which reads as the seller's wish?
- Would you pay the closing price?

~90s spoken

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ACTIVITY 2 / 10 MINUTES

Activity 2: Run the four PSM questions on your partner.

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Trade roles. Write down their four answers. Read them back. 10 minutes total.

Each partner takes a turn being the survey respondent. Walk the four questions: at what price is this product so expensive you would not buy. At what price is it so cheap that quality must be poor. At what price does it start to feel expensive but still worth considering. At what price is it a bargain. Tell students to ask the questions in that order, and to record the dollar amount their partner gives, not their own gut. The point of partnering is that the questions only work when asked of someone outside your own anchor. Five minutes per direction. After both rounds, students sketch a rough band: the OPP sits where too-cheap and too-expensive cross, and the band edges are where each crosses bargain.

DISCUSSION PROMPTS.

- Where did your partner's 'too cheap' sit? Did that surprise you?
- What is your acceptable band based on your partner's four numbers?

~60s spoken

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ACTIVITY 2 CAVEAT

Common pitfall: a sample of one is not a band. Your partner's four numbers are a candidate, not a study.

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A defensible PSM needs 200-400 respondents. Today's exercise teaches the question structure, not the band.

Be honest with students about what they just did. One person's four answers is a candidate read, not a band. A real PSM run takes 200 to 400 respondents and costs 8,000 to 18,000 dollars through a panel like Cint or Prolific. Today's exercise is to teach the question structure and the crossing logic, so when they hire a research firm or build a Skill, they know what to ask. The actual PSM widget in Chapter 10's book version lets students play with the curves to see how the crossings move. Encourage them to run it on their own once after class.

DISCUSSION PROMPTS.

- If you had $10,000, what would your real PSM look like?

~50s spoken

07 / 15

ACTIVITY 3 / 8 MINUTES

Activity 3: Design a three-option lineup that steers buyers toward your target option.

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Either a decoy (dominated on every attribute) or a compromise (target sits in the defensible middle). 8 minutes.

Walk the activity steps. Step one: pick which option you want most buyers to land on. That is your target. Step two: design two flanking options. Option A: a decoy that is dominated on every attribute by your target at the same or higher price. Option B: a compromise lineup where your target sits in the defensible middle of a clear trade-off. Step three: predict the share split with and without the manipulated lineup. The Economist case is the benchmark: 84 percent vs 32 percent with versus without the decoy. Give students eight minutes. Walk the room.

DISCUSSION PROMPTS.

- Which lineup did you build, decoy or compromise? Why does it fit your product?
- What share split do you predict? Why?

~60s spoken

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ACTIVITY 3 DEBRIEF

Debrief: when does a decoy backfire?

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Decoys break when buyers comparison-shop online, when the decoy is too obvious, or when the difference is too small.

Pose the failure question to the room. When does a decoy backfire? Take three or four answers. The right answers fall into three buckets. One, when buyers comparison-shop online, they look up the alternatives and the asymmetric dominance becomes visible as manipulation. Two, when the decoy is too obvious, buyers notice and trust drops. Three, when the difference between the decoy and the target is too small, the dominance is not asymmetric enough to shift choice. Then introduce the fairness layer: a decoy that buyers later notice as designed manipulation damages the relationship more than the lift gained. The compromise effect is structurally safer because it does not require a dominated option.

DISCUSSION PROMPTS.

- Have you ever caught a brand using a decoy on you? How did that change your read of them?

~60s spoken (skip if short)

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ACTIVITY 4 / 10 MINUTES

Activity 4: Run the sharp competitor audit on your brand using Claude or ChatGPT.

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One prompt, web search on, named levers. 10 minutes including the comparison with the vague version.

Open a chat assistant. Make sure web search is on. The sharp prompt is on the next slide. Step one: paste the sharp prompt with your brand, three competitors you named, and the price you would defend. Step two: read the response. Note which levers the model named (decoy, Veblen, elasticity, fairness, anchoring). Step three: paste the vague version of the same question: 'Is my price good?' Step four: compare the two responses. The point of the activity is that the sharp prompt returns a defensible recommendation tied to named levers, while the vague prompt returns generic advice. The same assistant, same cost, two different answers, depending entirely on how you asked.

DISCUSSION PROMPTS.

- Which levers did the model name? Did it miss any obvious ones?
- What is the gap between the two responses? In your own words.

~75s spoken

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ACTIVITY 4 PROMPT

The sharp prompt: audit, three competitors, named levers, current shelf prices.

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Audit my [brand] at [price] against [three competitors]. Name two or three levers the recommendation rests on. Use current shelf prices.

Read the prompt aloud once, slowly. The sharp prompt has four components: the audit ask, the brand and price, the three named competitors, and the explicit instruction to name the levers. Tell students to also instruct the model to search the web for current shelf prices, which a 2026 assistant does by default. The lazy version, 'is my price good,' returns advice they could have guessed. The sharp version returns a recommendation tied to specific levers like decoy structure or Veblen signaling. The gap between those two responses, at the same cost in cents, is most of the lesson. The principle generalizes: the question controls the answer more than the model does.

DISCUSSION PROMPTS.

- Write your prompt in a notes app first. Read it back. Is it sharp?

~50s spoken

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ACTIVITY 4 DEBRIEF

Debrief: what did the model get right, and what would you still verify?

Debrief: what did the model get right, and what would you still verify?

Three things the model nailed. Two things you would not trust without checking.

Pull two or three volunteers to share what their model returned. For each, ask two questions. What did the model get right? Almost always: naming the levers, citing current shelf prices, suggesting a defensible band. What would you not trust? Usually: specific competitor prices that may be stale, claims about market share, anything where the model's training cutoff matters. The 2026 fix is that models with web search return current prices, but you still verify them on the actual retailer's page before you act. Treat the model's read as a first pass, not a finished study.

DISCUSSION PROMPTS.

- Did the model name a lever you would not have caught yourself?
- What single number from the response would you double-check?

~60s spoken

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ACTIVITY 5 / 6 MINUTES

Activity 5: Run your price through the fairness checklist before you ship.

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Is there a cost story? Is there an off-peak or lower option? Was the change published before it took effect? 6 minutes.

The last activity is the audit before launch. Three questions. One, is there a cost story buyers will accept? If not, the increase fails dual entitlement. Two, is there an off-peak or lower option so the budget-constrained buyer pays less? If not, you have a Wendy's-style rollout. Three, was the change published before it took effect, or did it surprise buyers? Walk students through applying these three questions to their own brand. If the brand is targeting a vulnerable buyer group buying a necessity (medicine, baby formula, emergency rideshare), the fairness ceiling is tighter. If the brand is selling identity to discretionary buyers (Liquid Death), the ceiling is looser.

DISCUSSION PROMPTS.

- Does your price fail any of the three? Which one is hardest to satisfy?
- If you were a regulator, would you investigate your own brand?

~60s spoken

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DELIVERABLE

Final 8 minutes: write your one-page recommendation.

Final 8 minutes: write your one-page recommendation.

Brand, buyer segment, EVC walk, PSM band, lineup design, AI audit verdict, fairness check. One page.

The deliverable is one page. Tell students to write or type it now while everything is fresh. The structure is seven blocks. One, brand and buyer segment in one sentence. Two, EVC walk: base plus premiums to ceiling, then closing price. Three, PSM band from their partner (acknowledge the n=1 caveat). Four, the three-option lineup they designed. Five, the AI audit verdict: levers named, price recommended. Six, fairness check: which of the three questions, if any, fails. Seven, the price they would actually post, with a one-sentence defense. This document is the artifact of the session. It is also a template they can run on any other product after the class.

DISCUSSION PROMPTS.

- What is the one sentence you would say to your CEO to defend this price?

~60s spoken

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CROSS-REVIEW

Share: trade one-pagers with your partner and red-team each other.

Share: trade one-pagers with your partner and red-team each other.

Find the weakest premium in the EVC. Find the lever the audit missed. 5 minutes total.

Pair students up and have them swap one-pagers. Each partner is the red team. They look for two specific weaknesses. The weakest premium in the EVC walk, the one with the softest dollar justification. And the lever the AI audit missed, where the model could have named a decoy or anchoring effect but did not. Five minutes each direction. The point is that partnerships catch what solo work misses. Tell students that this is what pricing committees do at real firms.

DISCUSSION PROMPTS.

- Which premium in your partner's EVC needs the most defense?
- What lever did your partner's audit miss?

~50s spoken

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CLOSE

You have a defensible price now, with the levers named.

You have a defensible price now, with the levers named.

Take the one-pager home. Run the same procedure on the next product you buy.

Close the session by reminding students what they did. They built an EVC walk, ran four PSM questions, designed a steering lineup, ran a sharp AI audit, and applied the fairness checklist. That is the full pricing decision a brand manager runs at a real firm. Tell them the one-pager is theirs to keep. The next time they buy something expensive (a phone, a jacket, a subscription) they should run this same procedure on the brand selling to them. They will spot the levers the brand is using. They will know when a decoy is in play. They will read the fairness signals. That habit is most of what separates a Chapter 10 reader from a pricing professional.

DISCUSSION PROMPTS.

- What is the next product you will run this on, after you leave the room?

~60s spoken